



Parshwanath Capital Ventures Fund

SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108

Fund Manager: CA Deep Dalal | Sponsor: Jignesh Shah

IPO ANALYSIS REPORT • UDRHP-I

AITMC Ventures Limited

Mainboard • Drone skilling and drone manufacturing • filed 2026-09-30 • lead manager(s): Khandwala Securities • issue size Rs – cr • price band: Not announced • analysed 2026-10-08

CALL

CHECKS

Screen only

3 fail • 5 watch • 3 pass • 5 open

Revenue rose 2.5x over FY24-FY26 to Rs 106.76 cr with PAT of Rs 13.38 cr, but operating cash flow was negative in two of three years, 83.6% of revenue comes from ten customers, and the Rs 155.03 cr of identified objects imply a price of at least Rs 44.29 against Rs 17.50 in the last secondary transfers.

Revenue FY26 ₹107 cr CAGR FY24-FY26: 59.7%	PAT FY26 ₹13 cr CAGR FY24-FY26: 24.5%	EBITDA margin 26.7% FY24: 39.9%	Cash conversion (CFO / PAT, 3 yrs) -25.7%
Cash tax rate (3 yrs) 32.0%	P/E at reference (post-issue) 41.3x peer median: 68.6x	Blended value (Neutral) ₹17.71 vs reference: -60.0%	Reference price ₹44.29 Rs 44.29 per share: the objects floor, i.e. identified objects of Rs 155.03 cr divided by the fixed fresh issue of 3.50 crore shares, before offer expenses and general corporate purposes (pp. 134-135). Not a price band. The last secondary transfers (Apr-Jun 2026) were at Rs 17.50 (p. 207).

Where to focus

× Fail **Cash flow vs profit** pp. 86-87

Operating cash flow -5.90 / -6.59 / +2.67 cr (FY24/25/26) against PAT 8.63 / 16.14 / 13.38 cr: cumulative CFO/PAT -25.7%. Capital advances (+Rs 9.59 cr FY26, +Rs 13.52 cr FY25) appear to sit inside operating cash flow rather than investing (balance-sheet movements match the 'other non-financial assets' line); adding them back gives FY26 +12.26 and FY25 +6.93 cr, still below PAT.

× Fail **Related-party capex & subsidiaries** pp. 89-92; Annex. 47

Purchases and cost of services from KMP-influenced entities Rs 14.11 cr in FY26 (24.3% of gross purchases of Rs 58.10 cr; 30.6% in FY25). Advances to related-party suppliers Rs 8.06 cr at FY26 (Rs 1.20 cr FY25), 11.5% of net worth. Farmers City International (apparently the subsidiary sold in FY25) now supplies the company. Capital advances Rs 25.81 cr (36.7% of net worth) are unreconciled to named vendors.

× Fail **Customer / supplier / geographic concentration** pp. 49-50, 302-303

Top-1 customer 18.73%, top-5 71.13%, top-10 83.58% of FY26 revenue (88.55% FY24); names withheld for want of consent. Top-1 supplier 20.20%, top-10 69.66%, and three FY26 supplier amounts equal those of related parties; no supply contract disclosed. Delhi alone is 58.47% of FY26 revenue.

! Watch **Bonus issue / share-count consistency** pp. 202, 207; Annex. 42

Bonus (1.5:1, Jun-2023) and 5-for-1 split (Sep-2023) fall inside FY24. Basis for Issue Price p. 202 prints FY24 basic EPS Rs 20.41 on the pre-split count (42.05 lakh shares) next to Rs 1.91 and Rs 1.50 on 8.98 crore shares, giving a basic weighted EPS of Rs 4.79; on one share base (FY24 Rs 1.76) it is about Rs 1.68. EPS numerators use total comprehensive income (FY26 Rs 13.51 cr vs PAT Rs 13.38 cr).

! Watch **Current vs deferred tax** p. 84; Annex. 31

Current tax 4.76 / 7.33 / 5.47 cr (FY24/25/26) = 32.0% of cumulative PBT, so profit is taxed. But income tax paid (net) is Rs 11.07 cr against Rs 17.56 cr charged; the current-tax liability stands at Rs 6.86 cr at 31-Mar-2026.

! Watch **Objects arithmetic as price floor** pp. 134-135

Objects need Rs 155.03 cr (Rs 20.00 cr debt repayment, Rs 135.03 cr capex) against a fixed fresh issue of 3.50 crore shares: price floor at least Rs 44.29 before offer expenses and GCP (up to 25% of gross). Last secondary transfers were at Rs 17.50 (p. 207); floor is 2.5x that.

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Forensic scorecard

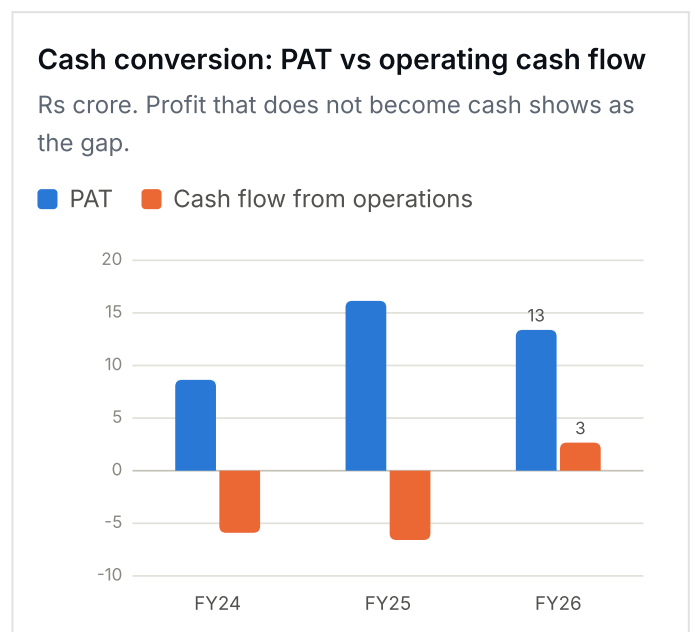
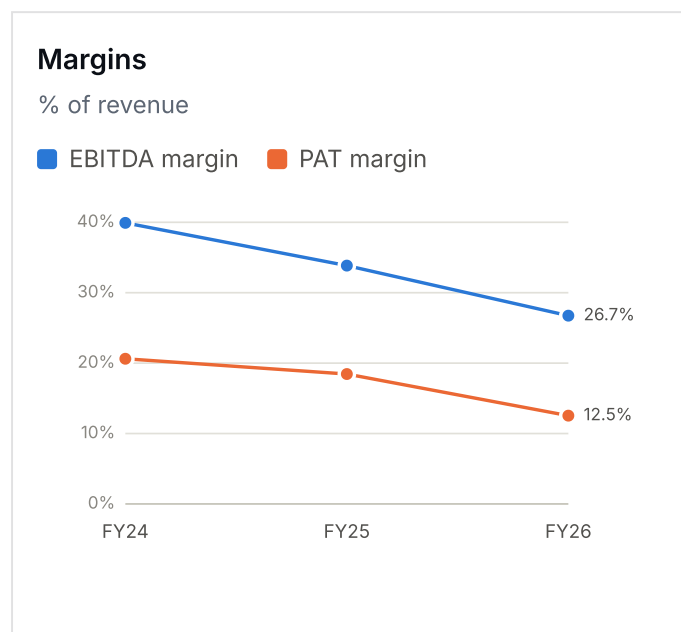
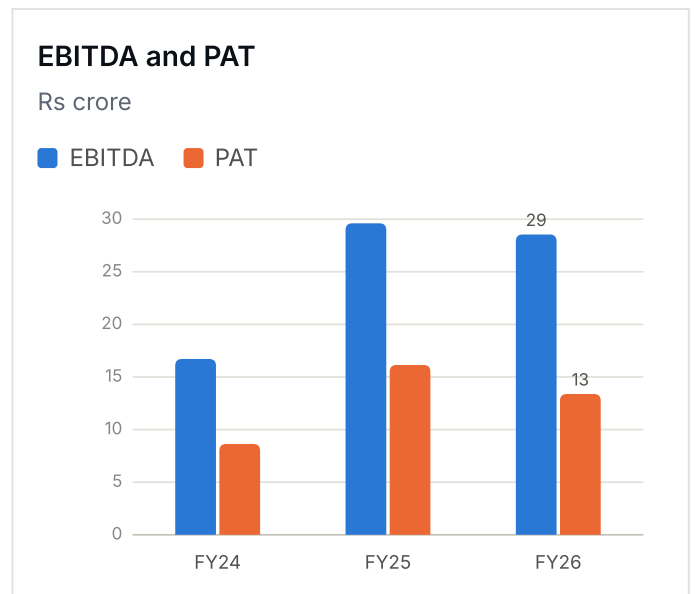
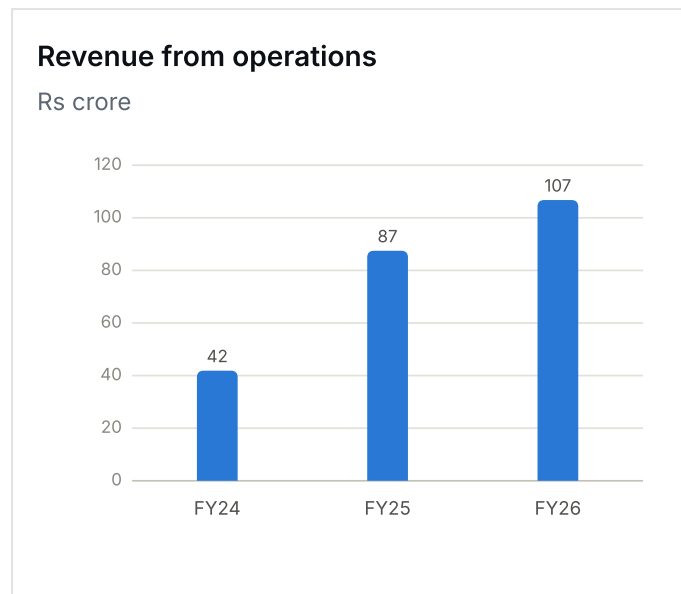
Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	! Watch	Bonus (1.5:1, Jun-2023) and 5-for-1 split (Sep-2023) fall inside FY24. Basis for Issue Price p. 202 prints FY24 basic EPS Rs 20.41 on the pre-split count (42.05 lakh shares) next to Rs 1.91 and Rs 1.50 on 8.98 crore shares, giving a basic weighted EPS of Rs 4.79; on one share base (FY24 Rs 1.76) it is about Rs 1.68. EPS numerators use total comprehensive income (FY26 Rs 13.51 cr vs PAT Rs 13.38 cr).	pp. 202, 207; Annex. 42
2	Cash flow vs profit	× Fail	Operating cash flow -5.90 / -6.59 / +2.67 cr (FY24/25/26) against PAT 8.63 / 16.14 / 13.38 cr: cumulative CFO/PAT -25.7%. Capital advances (+Rs 9.59 cr FY26, +Rs 13.52 cr FY25) appear to sit inside operating cash flow rather than investing (balance-sheet movements match the 'other non-financial assets' line); adding them back gives FY26 +12.26 and FY25 +6.93 cr, still below PAT.	pp. 86-87
3	Current vs deferred tax	! Watch	Current tax 4.76 / 7.33 / 5.47 cr (FY24/25/26) = 32.0% of cumulative PBT, so profit is taxed. But income tax paid (net) is Rs 11.07 cr against Rs 17.56 cr charged; the current-tax liability stands at Rs 6.86 cr at 31-Mar-2026.	p. 84; Annex. 31
4	Related-party capex & subsidiaries	× Fail	Purchases and cost of services from KMP-influenced entities Rs 14.11 cr in FY26 (24.3% of gross purchases of Rs 58.10 cr; 30.6% in FY25). Advances to related-party suppliers Rs 8.06 cr at FY26 (Rs 1.20 cr FY25), 11.5% of net worth. Farmers City International (apparently the subsidiary sold in FY25) now supplies the company. Capital advances Rs 25.81 cr (36.7% of net worth) are unreconciled to named vendors.	pp. 89-92; Annex. 47
5	Objects arithmetic as price floor	! Watch	Objects need Rs 155.03 cr (Rs 20.00 cr debt repayment, Rs 135.03 cr capex) against a fixed fresh issue of 3.50 crore shares: price floor at least Rs 44.29 before offer expenses and GCP (up to 25% of gross). Last secondary transfers were at Rs 17.50 (p. 207); floor is 2.5x that.	pp. 134-135
6	Revaluation reserve	✓ Pass	No revaluation reserve in other equity (retained earnings, securities premium, OCI only).	Annex. 20
7	Goodwill vs tangible equity	✓ Pass	No goodwill. Intangibles nil at 31-Mar-2025 and 31-Mar-2026.	pp. 82-83
8	Customer / supplier / geographic concentration	× Fail	Top-1 customer 18.73%, top-5 71.13%, top-10 83.58% of FY26 revenue (88.55% FY24); names withheld for want of consent. Top-1 supplier 20.20%, top-10 69.66%, and three FY26 supplier amounts equal those of related parties; no supply contract disclosed. Delhi alone is 58.47% of FY26 revenue.	pp. 49-50, 302-303
9	Contingent liabilities	! Watch	No contingent liabilities, but capital commitments of Rs 17.41 cr (Rs 1.49 cr FY25) are not provided for. One FIR (No. 33/2025, s. 420 IPC) is under investigation with notice issued to a director (pp. 447-448).	p. 88; Annex. 43

#	CHECK	RESULT	FINDING	PAGE
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed in this pass.	
R1	Auditor qualifications / changes	! Watch	NKSC & Co appointed statutory auditor 30-Aug-2023; the document records no change since. Audit reports on the FY24 and FY25 consolidated statements were not reviewed in this pass.	p. 95
R2	CARO / audit trail	○ Open		
R3	Monitoring agency	○ Open		
R4	Eligibility re-computation	○ Open		
R5	SME conditions	✓ Pass	Reg 6(1) re-performed: operating profit (PAT + finance cost + tax - other income) 21.54 / 24.21 / 9.38 cr FY26/25/24, average 18.38 cr against the Rs 15 cr test; reproduces the document's figures. FY24 passes only at 9.38 cr, and the KPI table's EBITDA uses a different basis (it includes other income).	p. 459
R6	Lead-manager track record	○ Open	Khandwala Securities: 8 SME issues listed in the document, all 8 below issue price at day 30 (-4.2% to -67.8%); no mainboard IPO handled. The summary table does not reproduce the per-issue table. Full CIR/MIRSD/1/2012 track record not compiled.	p. 466
R7	Firm means of finance	○ Open		

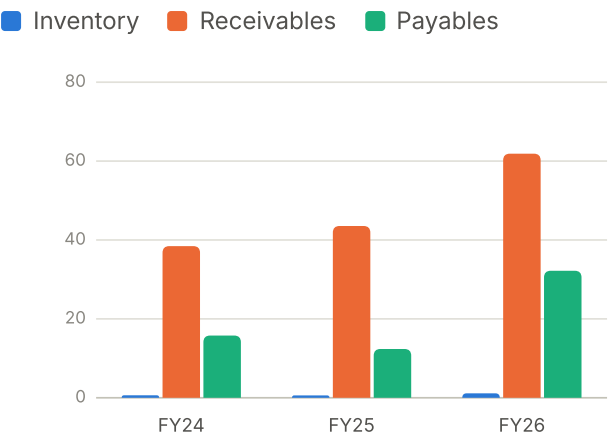
Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.



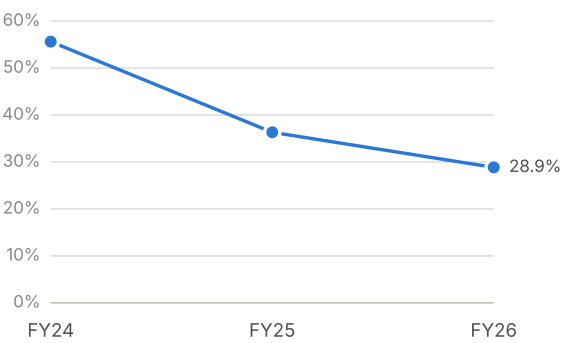
Working capital build-up

Rs crore, year end



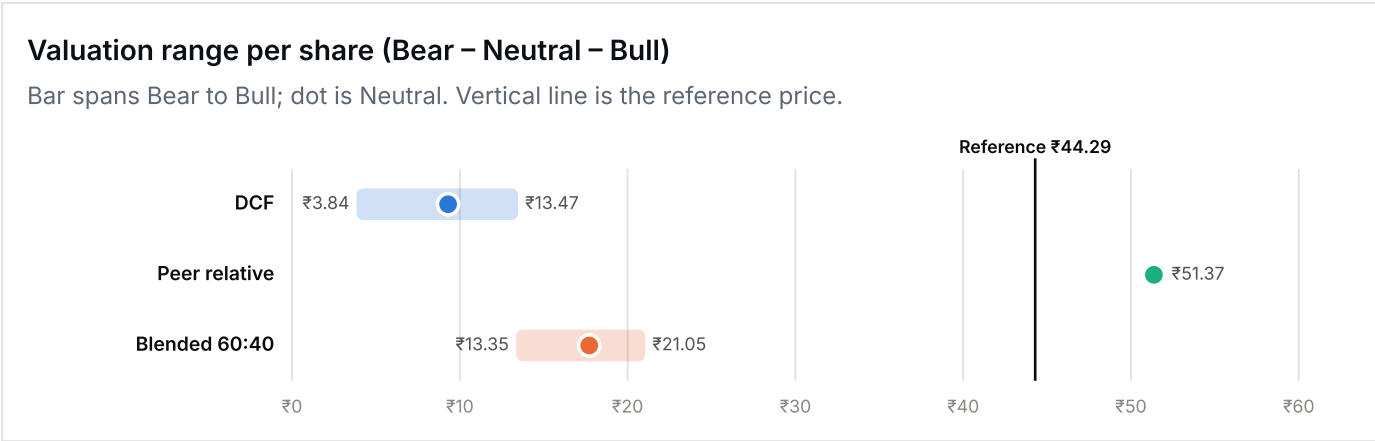
Net working capital

% of revenue



Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 44.29 per share: the objects floor, i.e. identified objects of Rs 155.03 cr divided by the fixed fresh issue of 3.50 crore shares, before offer expenses and general corporate purposes (pp. 134-135). Not a price band. The last secondary transfers (Apr-Jun 2026) were at Rs 17.50 (p. 207).

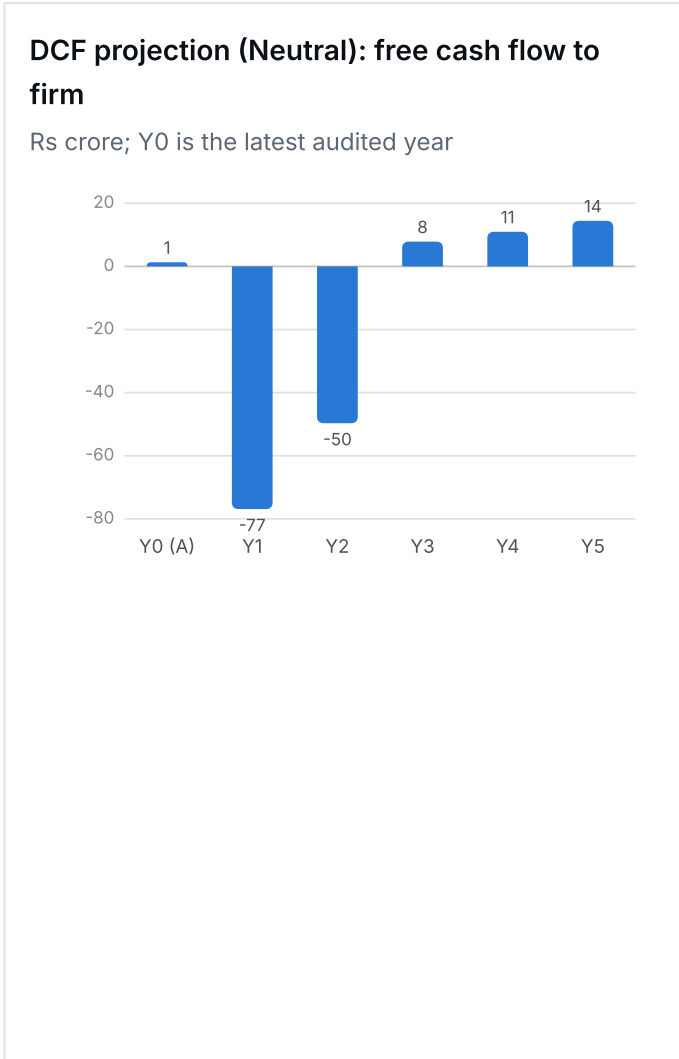


Scenario summary				
RS / SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹3.84	₹51.37	₹13.35	-69.9%
Neutral	₹9.3	₹51.37	₹17.71	-60.0%
Bull	₹13.47	₹51.37	₹21.05	-52.5%

WACC	16.9%
Terminal value share of EV	-681.1%

Reverse DCF: what the reference price needs		
LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	16.5%	4.5%
implied WACC at terminal g	4.8%	16.9%
required EBIT margin (steady state)	85.7%	20.7%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	32.4%

The price asks the business to deliver 325.7 times its current free cash flow, in perpetuity.



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

	Terminal growth				
WACC	3.5%	4.0%	4.5%	5.0%	5.5%
14.9%	₹10.8	₹10.89	₹10.99	₹11.1	₹11.21
15.9%	₹9.95	₹10	₹10.06	₹10.12	₹10.18
16.9%	₹9.24	₹9.27	₹9.3	₹9.33	₹9.36
17.9%	₹8.65	₹8.66	₹8.68	₹8.69	₹8.7
18.9%	₹8.15	₹8.15	₹8.15	₹8.15	₹8.15

Below reference  Above reference

Sensitivity: working capital vs EBITDA margin

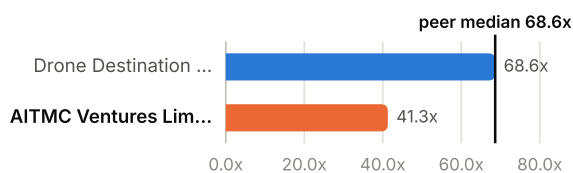
Value per share (Rs). The lever that moves value most deserves the most diligence.

	EBITDA margin				
NWC % rev	22.5%	23.5%	24.5%	25.5%	26.5%
26%	₹8.77	₹9.38	₹9.99	₹10.61	₹11.22
29%	₹8.42	₹9.03	₹9.65	₹10.26	₹10.88
32%	₹8.07	₹8.69	₹9.3	₹9.92	₹10.53
35%	₹7.73	₹8.34	₹8.96	₹9.57	₹10.18
38%	₹7.38	₹7.99	₹8.61	₹9.22	₹9.84

Below reference  Above reference

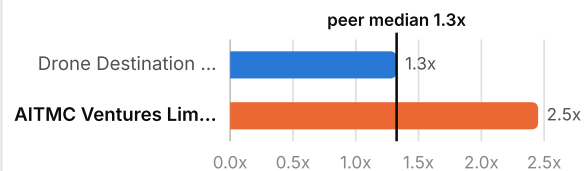
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth



Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

Khandwala Securities Limited

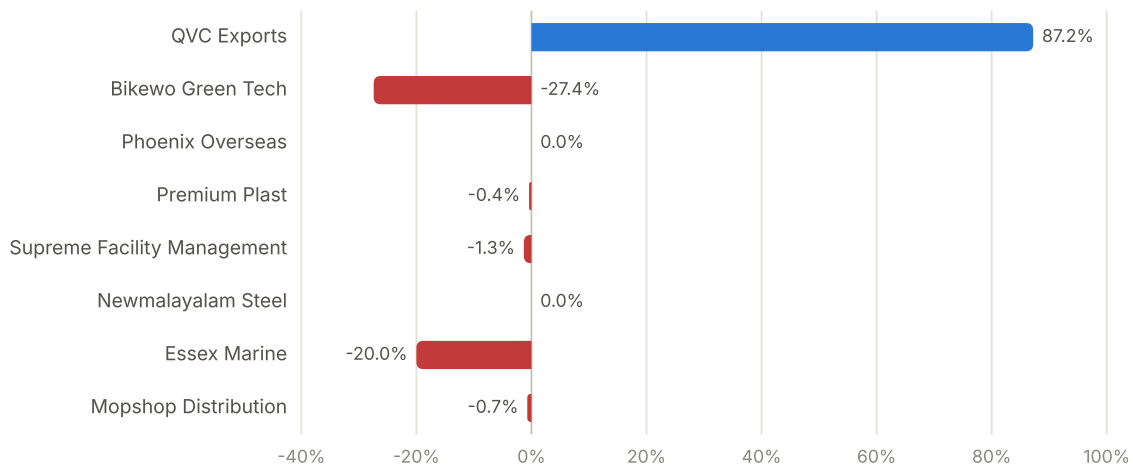
Listed: Not sourced in this run

Owner: Not sourced in this run (offer document does not state it)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
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Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



SWOT

Each point carries its figure and page reference in the note.

STRENGTHS • Revenue 2.5x in two years: Rs 41.87 cr to Rs 106.76 cr FY24-26 (p. 84) • Current tax 32.0% of cumulative PBT; no contingent liabilities (p. 84; Annex. 43) • 20-year concession for 20 UP institutes and MoU for 50 AICTE labs; Rs 27.74 cr already deployed (pp. 134-145) • DGCA type-certified VIRAJ drone; 162 units deployed (p. 271) • Reg 6(1) tests met: average operating profit Rs 18.38 cr (p. 459)	WEAKNESSES • Cumulative CFO -Rs 9.82 cr against PAT Rs 38.16 cr (pp. 86-87) • Top-10 customers 83.58% of revenue; Delhi 58.47% (pp. 49-50, 301) • Gross margin 55.66% to 46.45% FY24-26 (p. 205) • Related-party costs 24.3% of FY26 purchases; advances Rs 8.06 cr (pp. 89-92) • Drone sales Rs 10.40 cr to Rs 3.40 cr; production 4 to 100 units a quarter against 600 installed capacity (pp. 50, 301)
OPPORTUNITIES • Issuer-commissioned report: Indian drone market Rs 2.95 lakh cr by 2030, 35% CAGR (p. 239) • AV labs to train 60,000 candidates a year from FY28 (p. 137) • Haryana incentive package Rs 58.51 cr NPV for Future Tech Park (p. 272) • NSDC co-investment agreement of 24-Jul-2026 for advanced skilling centres (p. 269)	THREATS • Receivable collection from authorities: Rs 14.10 cr outstanding 1-3 years (Annex. 14) • Budget and tender dependence of Government and government-funded customers (p. 50) • Rs 17.41 cr capital commitments and Rs 25.81 cr capital advances to vendors (Annex. 12, 43) • FIR 33/2025 under s. 420 IPC; director summoned (pp. 447-448)

Due-diligence note

AITMC Ventures Limited: UDRHP-I screen

Basis. Updated Draft Red Herring Prospectus-I dated 30-Sep-2026 (SEBI filing page dated 30-Sep-2026), book-built fresh issue of up to 3,50,00,000 equity shares of Rs 2, Khandwala Securities Limited as sole BRLM. Restated financials run to 31-Mar-2026 and are **191 days old** at the date of this note. **No price band has been announced** and the issue price, offer expenses and general corporate purposes amount are blank in the document. FY26 is **standalone**; FY25 and FY24 are **consolidated** (p. 81), so year-on-year comparisons mix two bases. All figures are from the UDRHP-I; printed page numbers are cited, and "Annex." refers to the restated-financials annexure.

Upside is measured against **Rs 44.29**, the objects floor (identified objects of Rs 155.03 cr divided by 3.50 crore fresh shares, before offer expenses and general corporate purposes). It is a reference point, not a price band. The last secondary transfers (Apr-Jun 2026) were at **Rs 17.50** (p. 207). Exit route assumed: 2-3 year hold. Grey market premium is not used.

A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old and should therefore include H1 FY27. The company filed an earlier draft in October 2023 for NSE Emerge (SME); the document does not state what became of it (Definitions, "Previous DRHP").

Verdict: Screen only. The evidence is mixed.

Strengths: contracted, fast growth in a policy-supported niche.

- Revenue grew from Rs 41.87 cr in FY24 to Rs 106.76 cr in FY26 (2.5x); PAT from Rs 8.63 cr to Rs 13.38 cr (p. 84).
- The company holds a 20-year concession for 20 Uttar Pradesh institutes and an MoU for 50 AICTE labs; Rs 27.74 cr is already deployed (pp. 134-135, 145).
- Profit is taxed: current tax is 32.0% of cumulative PBT, and there are no contingent liabilities (p. 84; Annex. 43).
- Reg 6(1) eligibility reproduces: average operating profit Rs 18.38 cr against the Rs 15 cr test (p. 459).

Concerns: growth has not yet turned into cash, and the numbers lean on a few counterparties.

- Operating cash flow was -Rs 5.90 cr, -Rs 6.59 cr and +Rs 2.67 cr; cumulative CFO is -25.7% of cumulative PAT (pp. 86-87).
- Ten customers are 83.58% of FY26 revenue; related parties supply 24.3% of purchases and hold Rs 8.06 cr of supplier advances (pp. 49-50, 89-92).
- FY26 PBT fell 24.8% and PAT 17.1% despite revenue up 22.0%; gross margin fell from 55.66% to 46.45% (pp. 84, 205).
- The objects need at least Rs 44.29 a share; Neutral fair value is Rs 17.71.

The two readings separate on price. If the company can clear Rs 44.29 and convert receivables and advances to cash, growth carries it. At the Rs 17.50 secondary price the P/E is about 11.7x on FY26 earnings, but the issue

cannot raise its stated need at that price. **The H1 FY27 cash flow, the named customer list and the vendor-wise advance schedule in the RHP will show which reading holds.**

Snapshot

Rs crore	FY24 (cons.)	FY25 (cons.)	FY26 (standalone)
Revenue from operations	41.87	87.47	106.76
Gross profit (issuer KPI)	23.30	47.78	49.59
EBITDA (issuer KPI, includes other income)	16.71	29.61	28.55
EBITDA excluding other income	11.84	28.29	28.03
Other income	4.87	1.32	0.51
PBT	13.39	23.63	17.78
PAT	8.63	16.14	13.38
Cash flow from operations	-5.90	-6.59	2.67
Trade receivables (net)	38.44	43.54	61.87
Receivable days (closing)	335	182	211
Capital advances	2.70	16.22	25.81
Advances to suppliers	1.05	7.07	22.17
Borrowings (current + non-current)	2.37	26.03	42.18
Net worth	30.36	56.63	70.31
RoE (issuer)	28.44%	28.51%	19.04%

Sources: pp. 82-87, 205; Annex. 12, 14, 18. EBITDA excluding other income is computed from the issuer's KPI table less other income.

Business model

- **What it sells:** two verticals. Vocational education and skill development was 96.82% of FY26 revenue (Rs 103.36 cr); drone manufacturing and assembly was 3.18% (Rs 3.40 cr), down from Rs 10.40 cr (11.89%) in FY25 (p. 49).
- **Who buys it:** central and state government bodies and private entities. In FY26 Government customers were 26.84% of revenue (58.36% in FY24) and private customers 69.97%; the document says the FY26 rise in private revenue came from supplying IT equipment for "Future Technology Laboratories" under government-funded skilling projects, so that demand still depends on public funding (p. 50).
- **How it earns:** training fees under government schemes (NSDC, PMKVY, state missions), delivered partly through subcontracting or back-to-back arrangements (p. 50). Cost of services was Rs 27.72 cr in FY26, of which "infra partner expenses" were Rs 23.23 cr (Annex. 34). At the AV labs, course fees are shared 50:50 with the host institution, which carries faculty and facility costs (p. 137). FY26 also carried Rs 27.21 cr of stock-in-trade purchases of IT equipment (Annex. 36), at a lower margin than training: gross margin fell to 46.45%.

- **What it owns vs outsources:** a Gurugram drone facility (installed capacity 600 units; production 4 to 100 a quarter in the table, p. 301), three DGCA-recognised remote pilot training sites in Jhajjar, Bhuna and Hisar, and a Hisar site being built as the Future Tech Park, which also houses 23 planned vendor-operated component units (p. 272). Training centres sit in host institutions' premises.
- **Drone products:** the VIRAJ agricultural drone has DGCA type certification; 162 units were deployed and 28 other drones sold through FY26 (p. 271). Other variants await certification.
- **Perimeter changes:** FY26 is shown standalone after a former subsidiary (Farmers City International Private Limited, sold in FY25 for Rs 0.64 cr net cash, p. 87) left the group. A company with that name now sells services to the issuer and holds Rs 1.85 cr of advances from it (p. 92).

Industry analysis

Source: "Industry Report - Skill Development and Commercial Applications of Drones" by Dun and Bradstreet, **commissioned and paid for by the issuer** for this offer (p. 267). Treat its estimates accordingly.

- **Market size:** the report projects the Indian drone market at Rs 2,95,000 cr by 2030, a 35% CAGR from 2025, of which Rs 2,48,000 cr domestic; defence is the largest segment at Rs 1,01,000 cr, commercial Rs 75,000 cr. It puts agriculture drones at Rs 26,800 cr by FY2030 (39% CAGR) (p. 239).
- **Structure:** the issuer names two small listed peers, Drone Destination (FY26 revenue Rs 35.07 cr) and Droneacharya Aerial Innovations (Rs 14.67 cr), and states there is no like-for-like listed company in skill and vocational training (p. 204). Training competitors named in the document are government institutions, private providers and sector skill councils (p. 303).
- **Regulation and demand drivers:** DGCA Remote Pilot Certificates are legally required to operate drones (p. 268); demand for training depends on government schemes, drone-subsidy programmes and tender cycles. A production-linked incentive scheme for drones and components exists (p. 233).
- **Cyclical:** budget-linked. Government receivables are paid after verification (see below).

Moat

- **Licences and empanelments:** DGCA RPTO recognition, NSDC empanelment and a type-certified drone are real barriers to a new entrant, but they are available to any qualifying competitor; the document does not claim exclusivity.
- **Concession and MoU:** the UP concession (20 years, 20 institutes) and the AICTE MoU give access to sites. Their economics depend on the terms, which the document summarises but does not publish in full.
- **Scale and cost:** none evident. Gross margin fell 9.2 points in two years and the issuer says no like-for-like listed comparable exists.
- **Switching costs, brand, network:** none evidenced in the document.
- **Durability:** access-based rather than structural; the evidence for a durable moat is limited at this stage.

Revenue and profit growth drivers

- **Revenue:** FY24 to FY25 +108.9% (consolidated), FY25 to FY26 +22.0% (standalone against consolidated). Vocational revenue rose Rs 26.3 cr in FY26; drone revenue fell Rs 7.0 cr. Within FY26

growth, Rs 27.21 cr was IT equipment bought for resale (nil in FY25), so volume of core training grew by less than the headline. A split of training revenue between price and number of candidates trained is not given (gap).

- **Gross margin:** 55.66% / 54.63% / 46.45%. The FY26 decline coincides with traded IT equipment and higher infra-partner costs.
- **Operating leverage:** other expenses were 11.9% of revenue in FY26 (Rs 12.73 cr) against 11.5% in FY25, including an expected credit loss provision of Rs 3.80 cr and Rs 1.31 cr of balances written off (Annex. 41). Finance cost rose from Rs 1.89 cr to Rs 4.28 cr and depreciation from Rs 4.09 cr to Rs 6.49 cr as the labs were built.
- **One-offs:** FY24 other income of Rs 4.87 cr included Rs 4.42 cr of liabilities written back, 33.1% of FY24 PBT (p. 86). The issuer's EBITDA of Rs 16.71 cr in FY24 includes that income; excluding all other income it is Rs 11.84 cr.

SWOT

Strengths	Weaknesses
Revenue 2.5x in two years: Rs 41.87 cr to Rs 106.76 cr (p. 84)	Cumulative CFO -Rs 9.82 cr against PAT Rs 38.16 cr (pp. 86-87)
Current tax 32.0% of cumulative PBT; no contingent liabilities (p. 84; Annex. 43)	Top-10 customers 83.58% of revenue; Delhi 58.47% (pp. 49-50, 301)
20-year UP concession and AICTE MoU; Rs 27.74 cr deployed (pp. 134-145)	Gross margin 55.66% to 46.45% FY24-26 (p. 205)
DGCA type-certified VIRAJ; 162 units deployed (p. 271)	Related-party costs 24.3% of FY26 purchases; advances Rs 8.06 cr (pp. 89-92)
Reg 6(1) tests met, average operating profit Rs 18.38 cr (p. 459)	Drone sales Rs 10.40 cr to Rs 3.40 cr; production 4 to 100 units a quarter against 600 capacity (pp. 50, 301)
Opportunities	Threats
Issuer-commissioned report: drone market Rs 2.95 lakh cr by 2030, 35% CAGR (p. 239)	Rs 14.10 cr of receivables outstanding 1-3 years with authorities (Annex. 14)
AV labs to train 60,000 candidates a year from FY28 (p. 137)	Dependence on government budgets and tenders (p. 50)
Haryana incentive package Rs 58.51 cr NPV for the Future Tech Park (p. 272)	Rs 17.41 cr capital commitments and Rs 25.81 cr capital advances (Annex. 12, 43)
NSDC co-investment agreement dated 24-Jul-2026 for advanced skilling centres (p. 269)	FIR 33/2025 under s. 420 IPC; a director has been summoned (pp. 447-448)

The offer and objects

- **Offer:** fresh issue of up to 3,50,00,000 shares; no offer for sale. Pre-issue shares 8,97,55,000; post-issue about 12,47,55,000 (before any change). Promoters Deep (48.85%) and Preet Sandhuu (9.04%) hold 57.89% before the issue and about 41.7% after it (p. 129). Anchor allocation is discretionary: up to 60% of the QIB portion, with 40% of that reserved for mutual funds and insurers/pension funds (p. 79). **Anchor shares are locked in for 30 days (half) and 90 days (the rest), so they cannot be sold on listing day.**
- **Objects (Rs lakh, pp. 134-135):** AICTE labs 2,500.00 (1,450.00 from proceeds); UP institutes 5,489.59 (4,044.88); IIT R&D labs 1,163.71 (1,040.21); Future Tech Park 7,123.73 (6,967.48); debt repayment

2,000.00; general corporate purposes [blank], capped at 25% of gross proceeds. Identified objects from proceeds total **Rs 155.03 cr**. Rs 27.74 cr has already been spent from borrowings and accruals.

- **Price floor (forensic check 5):** Rs 155.03 cr / 3.50 crore shares = **Rs 44.29 a share before offer expenses and general corporate purposes**. If general corporate purposes were taken to the 25% cap, the floor would be about Rs 59.05 before expenses. The floor is 2.5x the Rs 17.50 secondary price and 8.9x the Rs 5.00 at which promoters' loans were converted in Mar and Jul 2024 (p. 206).
- **Debt repayment:** Rs 20.00 cr is aimed at two bank term loans (ICICI Rs 13.09 cr, HDFC Rs 7.37 cr outstanding) that financed the same labs, not at related-party lenders (p. 197). The related-party loan from Preet Sandhu (Rs 2.48 cr at FY26) is not in the list.
- **Monitoring and approvals:** the issue is above Rs 50 cr, so a monitoring agency is required; the document says one will be appointed (p. 48). Capex quotations are dated Aug 2026 with 180-day validity and the Future Tech Park estimate rests on a chartered engineer's report dated 25-Sep-2026 (p. 135); none is independently appraised (p. 135).

Financials and key findings

Positives

- Revenue and PAT scale: Rs 106.76 cr and Rs 13.38 cr in FY26.
- Cash tax: current tax Rs 17.56 cr over three years is 32.0% of PBT.
- Capital is being deployed against named assets: Rs 27.74 cr spent on AV labs, UP institutes, R&D labs and the park site, funded by two bank term loans.
- Equity was raised from promoters' loans converted at Rs 5 per share in FY24 and FY25 (Rs 10.19 cr and Rs 10.50 cr), strengthening net worth.

Concerns

- **Cash conversion.** Cumulative CFO is -Rs 9.82 cr against PAT Rs 38.16 cr. Capital advances appear to be inside operating cash flow rather than investing (the cash-flow line "other non-financial assets" is -Rs 26.41 cr in FY26 and matches the balance-sheet rise in capital and supplier advances). Adding capital advances back gives FY26 CFO of Rs 12.26 cr and FY25 of Rs 6.93 cr, still below PAT. FY24 cannot be adjusted because the opening balance is not shown.
- **Tax paid vs charged.** Income tax paid was Rs 11.07 cr over three years against Rs 17.56 cr charged; the current-tax liability is Rs 6.86 cr at FY26 (Annex. 31).
- **Receivables.** Gross receivables Rs 66.11 cr; Rs 14.10 cr has been outstanding 1-3 years with authorities "pending verification and assessment" and is carried as good with no specific provision (Annex. 14). Overall ageing from due date: 51.6% not due, 12.6% 0-6 months, 6.3% 6-12 months, 10.8% 1-2 years, 11.9% 2-3 years, 6.9% over 3 years. The FY26 expected-credit-loss provision of Rs 4.23 cr (Rs 3.80 cr charged in the year) covers only the "significant increase in credit risk" bucket.
- **Advances.** Supplier advances rose from Rs 7.07 cr to Rs 22.17 cr and capital advances from Rs 16.22 cr to Rs 25.81 cr in FY26, together 68.2% of net worth. Rs 8.06 cr of the supplier advances sits with related parties. The vendors and delivery dates are not disclosed.
- **Concentration.** Top-1 customer 18.73%, top-5 71.13%, top-10 83.58% (88.55% in FY24); names withheld for want of consent (p. 50). Delhi 58.47% of revenue (p. 301).
- **Basis mixing.** FY26 standalone vs FY25 consolidated: the revenue and profit growth rates above compare unlike perimeters. The issuer's KPI table does the same (p. 205).
- **Margins.** The KPI table defines EBITDA as profit "less other income" but the figures equal PBT + finance cost + depreciation, with other income left in (FY24 Rs 4.87 cr, FY25 Rs 1.32 cr, FY26 Rs 0.51 cr).

Document errors found in re-performance

- The restated P&L shows FY26 cost of services as Rs 27.22 cr; Annexure 34 totals Rs 27.72 cr, and total expenses of Rs 89.49 cr only reproduce with Rs 27.72 cr. The error is in the document (a digit transposition on the P&L line), not in our extraction.
- Basis for Issue Price (p. 206): FY24 basic EPS of Rs 20.41 is on the pre-split count (42.05 lakh shares) and is weighted with Rs 1.91 and Rs 1.50 on 8.98 crore shares to give Rs 4.79. On the post-split Rs 1.76 the weighted figure is about Rs 1.68. The EPS numerators also use total comprehensive income (Rs 13.51 cr in FY26) rather than PAT (Rs 13.38 cr).
- Weighted average cost of acquisition (p. 206): the table prints Rs 1,090.00 lakh for the March 2024 allotment of 2,03,80,000 shares at Rs 5, which is Rs 1,019.00 lakh (the cash-flow statement agrees); the printed total of Rs 2,060.00 lakh should be Rs 2,069.00 lakh. The summary table then shows "NA" for the same primary issuances.
- Top-10 shareholder percentages (p. 129) do not match the share counts (for example 41,50,500 shares shown as 1.73% is 4.62% of 8,97,55,000).
- Upgrade status of UP institutes: the objects chapter says 9 ITIs and 3 polytechnics are partly done (p. 145); the business chapter says 14 ITIs and all 3 polytechnics (p. 269).
- The issuer's working-capital table shows net current liabilities of Rs 55.36 cr at FY26; total current liabilities less short-term borrowings are Rs 48.46 cr (p. 39). The table does not reproduce.

Forensic scorecard

#	Check	Status	Finding
1	Bonus issue and share count	WATCH	Bonus (Jun-2023) and split (Sep-2023) precede the filing. Share base mixed in the weighted EPS (p. 202)
2	Cash flow vs PAT	FAIL	Cumulative CFO/PAT -25.7% (pp. 86-87)
3	Current vs deferred tax	WATCH	Taxed at 32.0% of PBT, but only Rs 11.07 cr paid against Rs 17.56 cr charged
4	Related-party capex and flows	FAIL	24.3% of purchases; Rs 8.06 cr advances; sold subsidiary now a supplier (pp. 89-92)
5	Objects as price floor	WATCH	Floor Rs 44.29 before expenses and GCP; 2.5x the Rs 17.50 secondary price
6	Revaluation reserve	PASS	None (Annex. 20)
7	Goodwill	PASS	None
8	Concentration	FAIL	Top-10 customers 83.58%; Delhi 58.47% (pp. 49-50, 301)
9	Contingent liabilities	WATCH	None, but Rs 17.41 cr capital commitments; FIR 33/2025
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	WATCH	NKSC & Co since 30-Aug-2023; no change disclosed (p. 95)

#	Check	Status	Finding
R5	Eligibility, Reg 6(1)	PASS	Average operating profit Rs 18.38 cr vs Rs 15 cr; FY24 passes at Rs 9.38 cr (p. 459)
R6	BRLM track record	OPEN	See below

Merchant banker

Khandwala Securities Limited (sole BRLM). Ownership and listing status are not stated in the offer document and were not sourced in this run (gap). Its past-issue table (p. 466) lists **eight issues, all SME**, from Aug-2024 to Aug-2026; it has handled no mainboard IPO. Per the document:

Issue	Listed	Size (Rs cr)	Issue price	Opening price	Day 30	Day 90	Day 180
QVC Exports	28-Aug-2024	24.07	86.00	161.00	-60.22%	-70.58%	-78.78%
Bikewo Green Tech	27-Sep-2024	24.09	62.00	45.00	-29.42%	-38.52%	-66.24%
Phoenix Overseas	27-Sep-2024	36.03	64.00	64.00	-45.56%	-52.71%	-71.05%
Premium Plast	28-Oct-2024	26.20	49.00	48.80	-4.19%	-13.91%	-38.24%
Supreme Facility Management	18-Dec-2024	50.00	76.00	75.00	-25.05%	-57.26%	-54.95%
Newmalayalam Steel	27-Dec-2024	41.76	90.00	90.00	-39.88%	-71.29%	-65.96%
Essex Marine	11-Aug-2025	23.01	54.00	43.20	-34.26%	-38.40%	-46.39%
Mopshop Distribution	26-Aug-2026	27.26	138.00	137.00	-67.81%	NA	NA

Each figure is the change in closing price against issue price, as printed. All eight issues closed below their issue price at day 30, and all six with a day-180 figure were lower still. The document's summary table (p. 466) does not reproduce this per-issue table, so the summary is not used. Current share prices and the issuers' revenue and PAT growth were not sourced in this run (gap; exchange filings needed). **Neutral read:** the track record is limited to small SME issues with weak post-listing performance, and this is its first mainboard book. That bears on anchor-book quality and aftermarket support rather than on the issuer's business. The full track record under CIR/MIRSD/1/2012 is on the lead manager's website and has not been compiled.

Valuation and reverse DCF

Standalone FY26, Rs crore: revenue 106.76, EBITDA 28.55 (issuer KPI), PAT 13.38, net worth 70.31, net debt 28.14 (matches the issuer's 0.99x net debt/EBITDA). Capex input Rs 16.18 cr includes the Rs 9.59 cr rise in capital advances, which the issuer classes inside operating cash flow. Net working capital is the issuer's own table (Rs 34.53 cr FY26, Rs 29.03 cr FY25, p. 39), which does not reproduce from the balance sheet (see data gaps). Cost of equity 19.2% and WACC 16.9% use the house inputs plus a 3% company-specific premium for customer concentration and related-party dealings (our judgment). Terminal growth 4.50%. Offer expenses and GCP are set at nil because the document leaves them blank, so the post-issue picture is a lower bound on what the issue must raise.

Rs per share	Bear	Neutral	Bull
DCF	3.84	9.30	13.47
Relative (one peer, see below)	51.37	51.37	51.37
Blended (80:20 DCF:relative)	13.35	17.71	21.05
Against Rs 44.29 reference	-69.9%	-60.0%	-52.5%

- **Scenario drivers:** revenue growth 5% / 15% / 30% in year 1 falling to 4% / 8% / 12% in year 5; EBITDA margin 20% / 24.5% / 27%; net working capital 36% / 32% / 28% of revenue; terminal ROIC 12% / 17% / 22%. Rationale and page cites are in the valuation workbook. The Bear case excludes the IPO-funded capex and its funding.
- **Relative value:** only one peer is used (Drone Destination Limited, P/E 68.65x on EPS Rs 0.48, revenue Rs 35.07 cr, RoNW 1.93%, p. 204). Its price (Rs 32.95) is derived from the document's P/E and EPS because the document gives no price. Droneacharya (P/E 195.63x, RoNW 0.65%) is excluded as not meaningful. The document says no like-for-like listed company exists, so the blend uses 80:20 and the relative value should be read as an upper marker, not an anchor.
- **Divergence:** DCF and relative differ by 81.9% (Neutral). The relative method prices a tiny peer at 68.65x earnings while the DCF prices free cash flow that is close to nil after working capital and capex. That separation is the finding.
- **Objects floor:** Rs 44.29 is above blended fair value in all three cases.
- **Reverse DCF:** at Rs 44.29 the price asks the business to deliver 325.7 times its current free cash flow, in perpetuity.
- **Post-issue arithmetic at Rs 44.29 (our computation):** market capitalisation about Rs 552.6 cr; P/E 41.3x on FY26 PAT over post-issue shares (29.7x on pre-issue EPS of Rs 1.49); post-issue NAV Rs 18.06 a share, P/B 2.45x; post-money RoE about 5.9%. At Rs 17.50, pre-issue P/E is about 11.7x.
- **Supply calendar:** shares released from lock-in after allotment (p. 131-132): pre-issue non-promoter holders about 3.78 crore shares at six months; promoter holding above 20% of post-issue capital about 2.70 crore at one year; the 20% minimum promoter contribution (about 2.50 crore shares) at three years. Anchor tranches release at 30 and 90 days. Float and anchor size cannot be set until the price and issue size are known.

What would change our view

The call moves from Screen only to a decision at the RHP. These conditions can be tested against it:

- **Price:** a band floor at or above Rs 44.29 would need FY26 P/E (post-issue) near 41x to be defended; a band whose floor is below the objects need would require the objects to be cut or the share count raised.
- **Cash conversion:** H1 FY27 CFO positive and cumulative CFO/PAT above zero after reclassifying capital advances to investing.
- **Receivables:** the Rs 14.10 cr outstanding 1-3 years collected or specifically provided; closing receivable days below 150.
- **Counterparties:** names and related-party status of the top-10 customers disclosed, and the top-10 share below 70%.
- **Advances:** a vendor-wise schedule for the Rs 22.17 cr supplier advances and Rs 25.81 cr capital advances, with delivery dates.
- **Comparability:** FY25 and FY24 restated on the same (standalone or consolidated) perimeter as FY26, with the terms of the Farmers City International disposal.
- **Related parties:** related-party share of purchases falling from 24.3% and the basis for pricing explained.

- **Documents:** the errors listed above corrected, including the weighted EPS, the WACA table and the cost-of-services line.
- **Margin:** gross margin at or above 50% in H1 FY27 with traded equipment shown separately.

Risks

- Dependence on a few customers and on government funding and payment timing (pp. 49-50).
- Capex of Rs 135.03 cr from proceeds on sites the company does not own (concession and host institutions), with the Future Tech Park at Hisar still under construction (p. 272).
- Drone manufacturing is sub-scale: Rs 3.40 cr revenue in FY26 against 600 units of installed capacity (pp. 50, 301).
- Related-party dealings and advances, and a former subsidiary now acting as supplier (pp. 89-92).
- A pending FIR naming the company, with a notice to a director (pp. 447-448); a labour complaint and civil matters are also pending (p. 448).
- Drone accidents during training or spraying (p. 48).
- A first mainboard book for the lead manager, whose recent SME issues all closed below issue price at day 30 (p. 466).
- Implementation risk: all objects are management estimates, not independently appraised (p. 135).

Data gaps

Item	Severity	Where to source
Price band, offer expenses and GCP amount	High	RHP
Issue size in rupees	High	RHP
Names and related-party status of top-10 customers	High	RHP / issuer
Vendor-wise schedule of capital advances (Rs 25.81 cr) and supplier advances (Rs 22.17 cr)	High	RHP / issuer
Terms of the Farmers City International disposal; reason for FY26 standalone basis	High	RHP / MCA
Receivables of Rs 14.10 cr outstanding 1-3 years with authorities, no provision	High	RHP / issuer
Issuer working-capital table does not reproduce from the balance sheet	Medium	RHP / issuer
Status of the October 2023 SME draft offer document	Medium	SEBI / NSE
Status and outcome of FIR 33/2025	Medium	Court / police records
Khandwala Securities' ownership, listing status and issuers' current prices and PAT growth	Medium	Exchange filings
Audit reports and qualifications; CARO and audit-trail comments	Medium	Restated financial information
Quarterly production table has inconsistent year labels and certificate dates	Low	RHP

Item	Severity	Where to source
Price-versus-volume split of training revenue	Low	RHP
General corporate purposes cap: the document cites 25% of gross proceeds; the current ICDR text should be re-checked at the RHP	Low	SEBI ICDR

Verification

- **Restated P&L reproduces** once FY26 cost of services is taken at Rs 27.72 cr (Annex. 34): expenses sum to Rs 89.49 cr, PBT is Rs 17.78 cr and PAT is Rs 13.38 cr. FY25 expenses (Rs 65.15 cr) and FY24 (Rs 33.36 cr) reproduce directly.
- **EBITDA** reproduces the KPI table only as PBT + finance cost + depreciation (other income left in); it does not match the table's stated definition.
- **Eligibility** operating profit reproduces for all three years (Rs 21.54 cr, Rs 24.21 cr, Rs 9.38 cr).
- **Balance sheet** totals agree (Rs 164.27 cr, Rs 110.88 cr, Rs 62.33 cr); retained earnings roll forward in FY26 (Rs 25.67 cr + 13.38 + 0.08 + 0.17 = Rs 39.31 cr).
- **Cash flow:** operating, investing and financing totals reproduce the change in cash for FY26 (+Rs 7.32 cr); the FY24 share-capital line is printed as "1.019.00" (should read 1,019.00).
- **Net debt / EBITDA** of 0.99x reproduces (Rs 28.14 cr / Rs 28.55 cr).
- **Merchant-banker figures:** listing and day-30/90/180 changes are as printed in the document (p. 466); the opening-price change against issue price is our computation. No secondary sources were used.
- **Peer price** is derived from the document's own P/E and EPS (p. 204); it is not an exchange quote.
- **Workbooks:** the toolkit verification passed 44 of 44 checks.

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